

## Saving on Taxes

*A penny saved is a dollar earned.*  
— **Benjamin Franklin**

We often tend to neglect the saving element in the portfolio and tend to focus most of our time and energy on the earning aspect. While earning more is important, savings is no less. As Benjamin Franklin wisely said – A penny saved is a dollar earned. For each dollar you earn, you save only a fraction of the amount but if you can save some money, it directly accumulates in your portfolio.

Often, one of the most neglected means of saving is the saving on taxes that are deducted at source. A lot can be done on this front with basic minimum awareness of tax laws.

The Income Tax Act 1961 is a voluminous piece of legislation. Taxmann Publications' latest edition of the act runs into 1,125 pages. This is enough to intimidate even the most diligent law student and tax expert, leave alone ordinary taxpayers like you and me. But hidden away in the 300-odd